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bank holding company becomes an advanced approaches Board-regulated institution or a Category III Board-regulated institution; and

(ii) A bank holding company that becomes a global systemically important BHC pursuant to §217.402 must calculate its GSIB surcharge pursuant to §217.403 by December 31 of the year in which the bank holding company is identified as a global systemically important BHC and must use that GSIB surcharge for purposes of determining its maximum payout ratio under Table 1 to §217.11 beginning on January 1 of the year that is immediately following the full calendar year after it is identified as a global systemically important BHC.

(c) *Reservation of authority.* (1) The Board may apply this subpart to any Board-regulated institution, in whole or in part, by order of the Board based on the institution's capital structure, size, level of complexity, risk profile, scope of operations, or financial condition.

(2) The Board may adjust the amount of the GSIB surcharge applicable to a global systemically important BHC, or extend or accelerate any compliance date of this subpart, if the Board determines that the adjustment, extension, or acceleration is appropriate in light of the capital structure, size, complexity, risk profile, and scope of operations of the global systemically important BHC. In increasing the size of the GSIB surcharge for a global systemically important BHC, the Board shall follow the notice and response procedures in 12 CFR part 263, subpart E.

[Reg. Q, 80 FR 49105, Aug. 14, 2015, as amended at 84 FR 59075, Nov. 1, 2019]

§217.401 Definitions.

As used in this subpart:

(a) *Aggregate global indicator amount* means, for each systemic indicator, the aggregate measure of that indicator, which is equal to the most recent annual dollar figure published by the Board that represents the sum of systemic indicator values of:

(1) The 75 largest global banking organizations, as measured by the Basel Committee on Banking Supervision; and

(2) Any other banking organization that the Basel Committee on Banking Supervision includes in its sample total for that year.

(b) *Assets under custody* means assets held as a custodian on behalf of customers, as reported by the bank holding company on the FR Y–15.

(c) *Average risk-weighted assets* means the four-quarter average of the measure of total risk-weighted assets associated with the lower of the bank holding company's common equity tier 1 risk-based capital ratios, as reported on the bank holding company's FR Y–9C for each quarter of the previous calendar year.

(d) *Brokered deposit* has the meaning set forth in 12 CFR 249.3.

(e) *Consolidated subsidiary* has the meaning set forth in 12 CFR 249.3.

(f) *Covered asset exchange* means a transaction in which a bank holding company has provided assets of a given liquidity category to a counterparty in exchange for assets of a higher liquidity category, and the bank holding company and the counterparty agreed to return such assets to each other at a future date. Categories of assets, in descending order of liquidity, are level 1 liquid assets, level 2A liquid assets, level 2B liquid assets, and assets that are not HQLA. Covered asset exchanges do not include secured funding transactions.

(g) *Financial sector entity* has the meaning set forth in 12 CFR 249.3.

(h) *GAAP* means generally accepted accounting principles as used in the United States.

(i) *High-quality liquid asset (HQLA)* has the meaning set forth in 12 CFR 249.3.

(j) *Cross-jurisdictional claims* means foreign claims on an ultimate risk basis, as reported by the bank holding company on the FR Y–15.

(k) *Cross-jurisdictional liabilities* means total cross-jurisdictional liabilities, as reported by the bank holding company on the FR Y–15.

(l) *Intra-financial system assets* means total intra-financial system assets, as reported by the bank holding company on the FR Y–15.

(m) *Intra-financial system liabilities* means total intra-financial system liabilities, as reported by the bank holding company on the FR Y–15.

(n) *Level 1 liquid asset* is an asset that qualifies as a level 1 liquid asset pursuant to 12 CFR 249.20(a).

(o) *Level 2A liquid asset* is an asset that qualifies as a level 2A liquid asset pursuant to 12 CFR 249.20(b).

(p) *Level 2B liquid asset* is an asset that qualifies as a level 2B liquid asset pursuant to 12 CFR 249.20(c).

(q) *Level 3 assets* means assets valued using Level 3 measurement inputs, as reported by the bank holding company on the FR Y–15.

(r) *Notional amount of over-the-counter (OTC) derivatives* means the total notional amount of OTC derivatives, as reported by the bank holding company on the FR Y–15.

(s) *Operational deposit* has the meaning set forth in 12 CFR 249.3.

(t) *Payments activity* means payments activity, as reported by the bank holding company on the FR Y–15.

(u) *Retail customer or counterparty* has the meaning set forth in 12 CFR 249.3.

(v) *Secured funding transaction* has the meaning set forth in 12 CFR 249.3.

(w) *Securities outstanding* means total securities outstanding, as reported by the bank holding company on the FR Y–15.

(x) *Short position* means a transaction in which a bank holding company has borrowed or otherwise obtained a security from a counterparty and sold that security, and the bank holding company must return the security to the initial counterparty in the future.

(y) *Systemic indicator* includes the following indicators included on the FR Y–15:

(1) Total exposures;

(2) Intra-financial system assets;

(3) Intra-financial system liabilities;

(4) Securities outstanding;

(5) Payments activity;

(6) Assets under custody;

(7) Underwritten transactions in debt and equity markets;

(8) Notional amount of over-the-counter (OTC) derivatives;

(9) Trading and available-for-sale (AFS) securities;

(10) Level 3 assets;

(11) Cross-jurisdictional claims; or

(12) Cross-jurisdictional liabilities.

(z) *Total exposures* means total exposures as reported by the bank holding company on the FR Y–15.

(aa) *Trading and AFS securities* means total adjusted trading and available-for-sale securities as reported by the bank holding company on the FR Y–15.

(bb) *Underwritten transactions in debt and equity markets* means total underwriting activity as reported by the bank holding company on the FR Y–15.

(cc) *Unsecured wholesale funding* has the meaning set forth in 12 CFR 249.3.

(dd) *Wholesale customer or counterparty* has the meaning set forth in 12 CFR 249.3.

§ 217.402 Identification as a global systemically important BHC.

A bank holding company is a global systemically important BHC if its method 1 score, as calculated under § 217.404, equals or exceeds 130 basis points. Subject to § 217.400(b)(2), a bank holding company must calculate its method 1 score on an annual basis by December 31 of each year.

§ 217.403 GSIB surcharge.

(a) *General.* Subject to § 217.400(b)(2), a company identified as a global systemically important BHC pursuant to § 217.402 must calculate its GSIB surcharge on an annual basis by December 31 of each year. For any given year, subject to paragraph (d) of this section, the GSIB surcharge is equal to the greater of:

(1) The method 1 surcharge calculated in accordance with paragraph (b) of this section; and

(2) The method 2 surcharge calculated in accordance with paragraph (c) of this section.

(b) *Method 1 surcharge*—(1) *General.* The method 1 surcharge of a global systemically important BHC is the amount set forth in Table 1 of this section that corresponds to the global systemically important BHC's method 1 score, calculated pursuant to § 217.404.

TABLE 1 TO § 217.403—METHOD 1 SURCHARGE

Method 1 score	Method 1 surcharge
Below 130	0.0 percent.
130—229	1.0 percent.
230—329	1.5 percent.
330—429	2.0 percent.